

Series A Term Sheet Template

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

[COMPANY NAME]

[DATE]

This Term Sheet summarizes the principal terms of the Series A Preferred Stock Financing of [Company Name], a Delaware corporation (the “Company”). This Term Sheet is for discussion purposes only; there is no obligation on the part of any negotiating party until a definitive agreement is signed by all parties.

OFFERING TERMS

Term	Details
Closing Date	[DATE]
Investors	LEAD INVESTOR and other investors acceptable to the Company and Lead Investor
Amount Raised	[\$[AMOUNT]]
Pre-Money Valuation	[\$[VALUATION]]
Price Per Share	[\$[PRICE]]
Shares Issued	[NUMBER] shares of Series A Preferred Stock

CHARTER

Dividends

The holders of the Series A Preferred Stock shall be entitled to receive dividends at the rate of [8]% per annum, payable when and if declared by the Board of Directors.

Liquidation Preference

In the event of any liquidation, dissolution or winding up of the Company, the holders of Series A Preferred Stock shall be entitled to receive in preference to the holders of Common Stock an amount equal to [1x] the Original Purchase Price plus any declared but unpaid dividends (the “Liquidation Preference”).

Conversion

Each share of Series A Preferred Stock shall be convertible, at the option of the holder, at any time, into shares of Common Stock at the then-applicable Conversion Rate.

Anti-Dilution

The Conversion Price of the Series A Preferred Stock shall be subject to adjustment on a broad-based weighted average basis.

Voting Rights

Each share of Series A Preferred Stock shall have a number of votes equal to the number of shares of Common Stock then issuable upon conversion.

INVESTOR RIGHTS

Board of Directors

The Board shall consist of [5] members:

- [2] designated by holders of Series A Preferred Stock

- [2] designated by holders of Common Stock
- [1] independent member mutually agreed upon

Information Rights

The Company shall deliver to each Major Investor:

- Annual audited financial statements within 120 days of fiscal year end
- Quarterly unaudited financial statements within 45 days of quarter end
- Annual budget within 30 days of fiscal year start

Registration Rights

Demand Rights: Holders of at least [50]% of the Registrable Securities may demand registration. **Piggyback Rights:** Investors shall be entitled to “piggyback” registration rights. **S-3 Rights:** Investors shall be entitled to unlimited S-3 registrations.

Right of First Refusal

Major Investors shall have a pro rata right to participate in subsequent equity financings.

OTHER TERMS

Employee Pool

Prior to closing, the Company shall reserve shares of Common Stock for issuance to employees, directors and consultants such that the total option pool equals [15]% of the fully-diluted capitalization.

Vesting

All stock and stock equivalents held by founders and employees shall be subject to vesting over [4] years with a [1] year cliff.

Drag-Along

Holders of Series A Preferred Stock and Common Stock shall be required to vote in favor of any acquisition approved by the Board and holders of a majority of the Series A Preferred Stock.

No-Shop

The Company agrees not to solicit, initiate, encourage or accept any other proposals for financing for a period of [45] days.

CLOSING CONDITIONS

- Completion of legal and financial due diligence
 - Execution of definitive agreements
 - Board approval
 - Shareholder approval
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COMPANY:

[COMPANY NAME]

By: _____

Name: _____

Title: _____

LEAD INVESTOR:

[INVESTOR NAME]

By: _____

Name: _____

Title: _____

This term sheet is non-binding except for the No-Shop provision. Based on NVCA Model Documents.

Source: NVCA - <https://nvca.org/model-legal-documents/>